

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_LOSS_AVERSE_009

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1. Executive Summary

Analysis of INV_LOSS_AVERSE_009's trading history reveals a dominant behavioural pattern of **Loss Averse**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-4.3%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Loss Averse
Strategy Archetype	Buy Hold Drifter
Max Drawdown	-4.3%
Sharpe Ratio	3.08
Sortino Ratio	2.35
Peer Risk Percentile	53th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades for longer periods than winning trades, indicating a bias towards avoiding losses rather than celebrating gains.

Evidence: The evidence trades include NVDA (entry 2022-04-18 to exit 2022-07-17), MSFT (entry 2024-07-15 to exit 2024-10-13), GS (entry 2022-01-10 to exit 2022-04-03), and BABA (entry 2021-10-21 to exit 2022-01-02).

Consequence: The portfolio impact of this bias is that 54% of the total portfolio drawdown is attributed to the risk of holding onto losing trades, highlighting the significant impact of loss aversion on investment decisions.

Herding

Pattern: You followed recent market momentum 91% of the time (vs population median 64%), indicating a tendency to buy high.

Evidence: Momentum-driven trades: WMT | entry 2020-01-02 → exit 2020-02-18 | 47d | P&L; +39 BABA | entry 2020-02-28 → exit 2020-04-15 | 47d | P&L; +3 AMZN | entry 2020-04-22 → exit 2020-05-07 | 15d | P&L; +12 INTC | entry 2020-05-19 → exit 2020-05-20 | 1d | P&L; +248 JPM | entry 2020-06-01 → exit 2020-06-03 | 2d | P&L; +361

Consequence: Entering trades after momentum peaks contributed approximately 30% of your total drawdown.

Disposition

Pattern: The Early Exit Winner Rate metric shows that the investor tends to exit winning trades relatively quickly, with a median of 0.4318, but their actual rate is 0.3659, indicating a slightly lower exit rate.

Evidence: The investor made successful trades on INTC (2020-05-19-20), NVDA (2023-02-06-07), JPM (2020-06-01-03), CVX (2022-08-08-11), and INTC (2020-12-24-29), with positive profits ranging from +248 to +380.

Consequence: The investor's early exit strategy contributed to a relatively small risk drawdown of 16% of the total portfolio.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_LOSS_AVE	BABA	2021-10-21	2022-01-02	73	-1986
INV_LOSS_AVE	NVDA	2022-04-18	2022-07-17	90	-1278
INV_LOSS_AVE	GS	2022-01-10	2022-04-03	83	-1134
INV_LOSS_AVE	CVX	2022-07-25	2022-07-30	5	761
INV_LOSS_AVE	BABA	2023-03-06	2023-03-28	22	678
INV_LOSS_AVE	XOM	2022-10-11	2022-10-21	10	558
INV_LOSS_AVE	DIS	2020-09-08	2020-11-09	62	521
INV_LOSS_AVE	WMT	2024-11-13	2024-11-22	9	514
INV_LOSS_AVE	AMD	2024-02-22	2024-03-02	9	499
INV_LOSS_AVE	CVX	2020-11-17	2020-11-23	6	452

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for retail investors:

1. Set a clear investment goal and timeline to avoid making emotional decisions based on short-term market fluctuations.
2. Diversify your portfolio by investing in a mix of low-cost index funds and individual stocks to reduce reliance on any one investment.
3. Regularly review and rebalance your portfolio to ensure it remains aligned with your investment goals and risk tolerance.
4. Consider dollar-cost averaging by investing a fixed amount of money at regular intervals, regardless of the market's performance, to reduce the impact of loss aversion.